



DoView Tool E4 - Contracting or Delegating For Outcomes Risks Checklist

This checklist is for when you are considering contracting for outcomes (Contracting Type 4) in the Types of Contracting or Delegating for Outcomes or Outputs Tool (E3). The 'Contracting Type 3' referred to below is contracting for outcomes, plus higher-level controllable indicators plus 'managing for outcomes' *1.

1. If multiple parties are involved in achieving outcomes, will other parties' motivation to work towards them be seriously reduced? This can happen if only one party receives financial rewards for achieving them. IF YES, DON'T CONTRACT FOR OUTCOMES, USE CONTRACTING TYPE 3.
2. Will the purchaser/funder support the supplier/provider to pursue strategies that are effective even if they meet resistance from affected stakeholders? IF NOT DISCUSS AND WORK THROUGH WITH SUPPLIER/PROVIDER. *2
2. Will initiatives be able to 'game' the system by selecting outcomes that are trending in the right direction, regardless of what the initiative actually does? IF YES, DON'T CONTRACT FOR OUTCOMES, USE CONTRACTING TYPE 3.
3. Will the high stakes involved in contracting for outcomes distort measurement too much by a focus on increasing reliability (being able to affordably get a reproducible measure) at the expense of validity (accurately measuring the outcome you want)? IF YES, DON'T CONTRACT FOR OUTCOMES, USE CONTRACTING TYPE 3.
4. Can measurement validity be protected from risk 3 and pushed more towards validity rather than just reliability (e.g. by involving a third party in measurement)? IF YES, CONSIDER CONTRACTING FOR OUTCOMES.
5. If outcomes are not achieved, will contracting for outcomes threaten the viability of institutions that need to be maintained going forward? IF YES, DON'T CONTRACT FOR OUTCOMES, USE CONTRACTING TYPE 3. *3

*1 See the How an Agency, Provider, Policy, Organization or Initiative Can Prove it is Managing For Outcomes, Not Only Outputs Tool (E5).

*2 See the Social Problem Cycle (G22). *3 See When to Include an 'Assist plus an Assess Mode in Contracting Checklist (E6).